India’s policies on exports, imports, foreign investment, external debt and exchange rate management have seen many changes since Independence. These have had a tremendous impact on the country’s GDP, growth, external debt and exchange rate.

Goods’ Exports Were Stagnating

Financial year 2020–21 was unusual on account of the surge of COVID-19 across the world, upending production of goods and services. Therefore, it should be ignored for any meaningful analysis of long- or medium-term trends.

Data from the previous seven years, however, unmistakably points out that India’s exports are stagnating. In 2013–14, the country exported $314.46 billion worth of goods. In 2019–20, after six years, our goods exports amounted to $313.14 billion, a shade lower than 2013–14 in absolute terms. No growth in six years! In fact, exports of goods had gone down to an embarrassingly low level of $262.29 billion in 2015–16. Only in the year 2018–19 did India’s exports, at $330.08 billion, exceed the nominal level of exports made in 2013–14. In the six years from 2014–15 to 2019–20, goods exports averaged only $299.06 billion. Consider the fact that in the six years from 2007–08 to 2013–14, exports grew from $162.90 billion to $314.46 billion. From 2013–14 to 2019–20, exports were flat at $314.46 billion in 2013–14 and $313.14 billion in 2019–20. The stagnation is apparent.

Thirty commodities account for about 94 per cent of India’s exports. All other commodities and commodity groups contributed only $25.3 billion exports in 2013–14 and $21.04 billion in 2019–20.

In 2013–14, the three largest commodity groups were engineering goods ($63.9 billion), petroleum products ($63.2 billion) and gems and jewellery ($41.4 billion). These three accounted for 54 per cent of exports ($168.5 billion out of $314.4 billion). Four more groups of commodities had exports